WAVERLEY GATEWAY GUIDE

Connecting International Capital

ANDORRA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Andorra la Vella	Capital and seat of the Government and the General Council, with a concentration of banks and professional firms	Banking and asset management, professional services, retail
Escaldes-Engordany	Adjoining business and commercial centre with a strong record in wellness and thermal-spa tourism	Financial services, wellness tourism, retail, real estate
Encamp, Canillo and Pas de la Casa (Grandvalira)	Home to the Grandvalira ski area, which reported a record 2025–26 season, and the main road link to France	Winter and mountain tourism, hospitality, retail
La Massana and Ordino	Northern mountain parishes suited to residential development and year-round outdoor activity	Sports and outdoor tourism, residential development, health and wellness
Sant Julià de Lòria	Southern parish on the main road link to Spain, which provides about half of all visitors	Logistics and distribution, retail, light industry
Nationwide digital and innovation base	Andorra Business and Andorra Recerca i Innovació support firms in priority sectors with a new €2 million grant programme	Digital technologies, biotechnology, audiovisual, sports science, sustainable construction

INVESTOR ENTRY ROUTES

- Andorra Business, the investment promotion agency chaired by the Minister of Economy, offers guidance on company set-up, residency and incentives, and runs a €2 million 2026 innovation grant programme open to foreign firms
- Foreign investment authorisation from the Government: acquisitions above 10% of a company and all real-estate investments need prior approval, with a statutory decision period of two months
- A 10% corporate income tax, a maximum 10% personal income tax and a 4.5% general indirect tax (IGI), with an 80% reduction for certain international intangible, trading and intra-group financing activities
- Euro as legal tender under the 2011 Monetary Agreement with the EU, with no currency risk against the euro and no dividend withholding tax in general
- Residence routes for entrepreneurs, self-employed professionals and passive investors, tightened by Law 2/2026 (minimum passive-residence investment raised to €1 million)
- Customs union with the EU for manufactured goods since 1991, with single-market access to follow under the Association Agreement signed on 19 October 2026

MARKET-ENTRY OBSERVATION

Andorra in November 2026 combines strong growth, a budget surplus and low debt with one of the most competitive tax regimes in Europe. Real GDP grew 3.9% in 2025, far ahead of Spain, France and the EU, and 3.3% year-on-year in the first quarter of 2026, led by finance, professional services and construction. Nominal GDP reached about €4 billion in 2025, and the government recorded a surplus of €88.3 million against a planned deficit. The IMF puts public debt at 30.3% of GDP and describes the banking sector as strong. Rating agencies have turned positive: S&P moved its A- outlook to positive in May 2026 and Moody's affirmed its Baa1 rating with a positive outlook in July 2026. The signature of the EU Association Agreement on 19 October 2026, after negotiations that began in 2014, opens the way to full access to the EU single market.

Andorra's main structural challenge is diversifying a small, tourism-led economy with limited land and housing. The country received 9.2 million visitors in 2025, inflation reached 4.8% in August 2026 on higher fuel prices, and housing affordability is residents' leading concern, with the IMF linking it to labour shortages. The IMF expects growth to ease to 2.1% in 2026. Strengths provide a firm base for change: the euro, surpluses and liquid public assets give fiscal room, the government is building more than 600 affordable rental homes by 2027, and the Association Agreement, which a government-cited study expects to raise GDP by at least 5% by 2050, should open new markets and attract skilled people. The National Plan for Innovation and Diversification and new grants for digital, health, sport and audiovisual firms create openings for investors in higher-value activities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
EU Association Agreement ratification	The agreement still needs European Parliament consent, a referendum in Andorra and a two-thirds parliamentary vote; a May 2026 poll showed more Andorrans opposed than in favour	Plan for both outcomes; the existing customs union and euro agreement already provide a strong base, and support has risen as voters become better informed
Foreign investment and residency controls	Prior authorisation is needed for significant stakes and all property purchases, and Law 2/2026 raised investment thresholds and introduced non-refundable residency payments	Engage Andorra Business and local counsel early; innovation and high-technology projects benefit from exemptions and dedicated support
Housing and property restrictions	Housing affordability is the top public concern, and foreign real-estate investment faces quantitative limits and a 6–10% tax	Focus on business premises, rental housing or authorised economic activity, which can attract exemptions
Labour availability and immigration quotas	Near full employment and annual work-permit quotas can make recruitment difficult	Use innovation-sector exemptions and quota adjustments, and plan housing for key staff
Inflation and cost pressures	Inflation rose to 4.8% in August 2026, largely on transport and fuel costs	The IMF expects inflation to return to 2% by end-2027; build cost scenarios and indexation into plans
Tourism concentration and access	Tourism drives activity and relies on road links through France and Spain; road closures in early 2026 showed the exposure	Diversification policy and year-round tourism reduce seasonality; build transport contingencies into logistics
Elections in spring 2027	General elections are due in spring 2027, with opposition parties divided on the EU agreement	Core tax and investment policy is broadly shared across parties; track manifestos on the agreement and immigration

INVESTOR RISK NOTE

Andorra's risk profile is that of a stable, prosperous microstate with a long record of political continuity, a sovereign co-principality and strong public finances. It uses the euro under its 2011 Monetary Agreement with the EU, ran a budget surplus in 2025 and has public debt of about 30% of GDP; S&P (A-) and Moody's (Baa1) both have positive outlooks. Andorra ended banking secrecy a decade ago and is not on the FATF grey list; MONEYVAL launched its sixth-round evaluation of the country in April 2026, and the IMF has encouraged continued risk-based supervision. The main near-term issues are domestic: inflation of 4.8% in August 2026, housing pressures and the ratification

of the EU Association Agreement, which faces a referendum and elections due in spring 2027. Investors should note that foreign investment and property purchases require prior approval and that residency rules were tightened in 2026; with early engagement and local advice, these are manageable parts of a predictable process.

MARKET ACCESS

Andorra is not a member of the EU or Schengen, but it has had a customs union with the EU for manufactured goods since 1991 and uses the euro, and the EU accounts for more than 80% of its imports. The Association Agreement signed on 19 October 2026 will, once ratified, give Andorra access to the EU single market for goods, services, capital and people, with transition periods of 15 years for financial services, seven years for telecommunications and 30 years for tobacco, while Andorra keeps its own tax system and does not join the EU. Andorra is linked by road to France and Spain, its two dominant markets, with the nearest airports and rail connections across the border in both countries. From the third quarter of 2026 the European Central Bank's EUREP facility extends euro liquidity lines to Andorran banks, strengthening the financial link with the euro area.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government of Andorra (Head of Government Xavier Espot)	Sets economic and diversification policy and signed the EU Association Agreement in October 2026	Primary reference point for strategic projects and the EU agenda
Andorra Business	National investment promotion agency, chaired by Economy Minister Conxita Marsol, which supports foreign investors and runs innovation grants	First point of contact for market entry, incentives and residency guidance
Andorran Financial Authority (AFA)	Financial regulator and supervisor in a country without its own central bank; receives residency payments under Law 2/2026	Key counterpart for banking, insurance and investment-services licensing
Ministry of Economy and the Ministry of Finance	Lead on foreign investment authorisations, tax policy and the budget	Relevant for investment approvals and tax matters
General Council (parliament)	Must approve the EU Association Agreement by a two-thirds majority after the referendum	Important for monitoring legislation and the ratification process
Andorra Recerca i Innovació	Public research and innovation body that helps evaluate innovation grant applications	Partner for R&D, technology and pilot projects
Andorran Banking association and the main banking groups	Represent a well-capitalised sector that is the largest source of high-value activity	Relevant for financial services, asset management and project finance

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chamber of Commerce, Industry and Services of Andorra (CCIS) is the main business association and publishes regular economic reports, while Andorran Banking represents the banking sector and maintains dialogue with regulators. Andorra Business organises investor events and promotes the country abroad, and works with Andorra Recerca i Innovació on innovation projects. Business relations are closely tied to France and Spain, whose embassies, chambers and professional networks are useful sources of introductions, and the co-princes, the President of France and the Bishop of Urgell, give the country distinctive links with both neighbours. Andorra is the IMF's 190th member, and IMF and rating-agency reviews provide regular independent assessment of the economy.

INVESTOR PROFILE BEST SUITED

Andorra suits investors seeking a stable, low-tax euro base with close links to France and Spain: wealth management, banking and professional-services firms drawing on a well-capitalised financial sector; digital, biotechnology, sports-science and audiovisual companies eligible for innovation grants and residency exemptions; tourism, hospitality and wellness investors serving 9.2 million annual visitors; and developers of rental and

affordable housing and sustainable construction. Investors should be ready for prior-authorisation procedures and substance requirements, and should follow the ratification of the EU Association Agreement closely.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Andorra Business early
Discuss the project, sector priorities, residency options and eligibility for innovation grants and incentives before filing.

STEP 2: Secure foreign investment authorisation
Prepare the Government application for any stake above 10% or property purchase, allowing for the two-month decision period.

STEP 3: Structure tax and substance with local advisers
Confirm the 10% corporate tax position, any reduced regime and the substance needed, and check whether Pillar Two rules apply to your group.

STEP 4: Plan staffing and housing
Assess work-permit quotas and residency routes under Law 2/2026, and secure accommodation for key staff early.

STEP 5: Track the EU agreement and 2027 elections
Follow the European Parliament vote, the Andorran referendum and the spring 2027 elections, and model the gains from single-market access.